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Beyond the GENIUS Act: Regulatory Gaps and Operational Challenges in Stablecoin Adoption

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ARTICLES

Beyond the GENIUS Act: Regulatory Gaps and Operational Challenges in Stablecoin Adoption

DAVID KRAUSE*

The enactment of the Guiding and Establishing National Innovation for U.S. Stablecoins (GENIUS) Act in July 2025 represents a pivotal shift in the digital asset landscape, providing a federal framework for payment stablecoins and addressing critical issues of transparency and reserve backing. However, this Article argues that the GENIUS Act addresses only a subset of the systemic inefficiencies hindering the transition of stablecoins from speculative instruments to institutional-grade financial tools. Through an analysis of current market data and regulatory gaps, this Article identifies four persistent challenges: fragmented liquidity across geographic corridors, practical spendability constraints rooted in tax and accounting treatment, unresolved legal questions regarding custody and yield-bearing instruments, and a lack of standardized fraud and dispute management infrastructure. Furthermore, it explores the emerging frontier of direct tokenized settlement as a potential successor to the stablecoin model. The Article concludes that while the GENIUS Act is a milestone, achieving systemic financial utility requires addressing these operational and legal deficiencies through continued collaboration between regulators and the private sector.

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INTRODUCTION

Stablecoins, which are digitally native tokens pegged to fiat currencies, primarily the U.S. dollar, have emerged as one of the most consequential financial instruments within the digital asset ecosystem.[1] As of September 2025, the market capitalization of stablecoins stands at approximately $300 billion,[2] with over 99% denominated

[1] *See* Amy Oldenburg & Frederick McMullen, *Stablecoins—Modernizing Financial Infrastructure*, MORGAN STANLEY: INSIGHTS (Sep. 15, 2025), https://www.morganstanley.com/im/en-us/individual-investor/insights/articles/modernizing-financial-infrastructure.html [https://perma.cc/MFW4-LWJ8].

[2] *Id.*

in U.S. dollars.[3] Their utility spans from facilitating crypto market stability and remittances to enabling near-instant settlement for global payments.[4] In 2024, stablecoins facilitated over $27.6 trillion in transfer volume, surpassing the combined annual transaction volume of Visa and Mastercard.[5]

Against this backdrop, the U.S. Congress, with the support of President Trump,[6] enacted the Guiding and Establishing National Innovation for U.S. Stablecoins (GENIUS) Act on July 18, 2025.[7] The Act establishes a comprehensive federal framework for regulating payment stablecoins.[8] This important legislation mandates robust reserve requirements with high-quality assets, implements strict transparency and audit standards, and creates a tiered oversight system that balances federal and state authority based on an issuer's size.[9]

Crucially, the Act also explicitly clarifies that payment stablecoins are not securities.[10] Its core objectives include defining "payment stablecoins," establishing uniform reserve requirements, and outlining issuer responsibilities.[11] While the GENIUS Act offers much-needed regulatory clarity, especially concerning one-to-one

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[3] Jeb Hensarling, *Preserve the Dollar's Reserve Currency Status with Stablecoins*, CATO INST.: COMMENT. (May 21, 2025), https://www.cato.org/commentary/preserve-dollars-reserve-currency-status-stablecoins [https://perma.cc/UAM6-5MH4].

[4] *See* Oldenburg & McMullen, *supra* note 1.

[5] Spencer Feingold, *Stablecoin Surge: Here's Why Reserve-Backed Cryptocurrencies Are on the Rise*, WORLD ECON. F. (July 21, 2025), https://www.weforum.org/stories/2025/03/stablecoins-cryptocurrency-on-rise-financial-systems [https://perma.cc/G2SL-MWN2].

[6] *See* Lisa Fried, Kristopher B. Kastens & David M. Alexander, *The Genius Act and Other US Legislative Developments Concerning Cryptocurrency*, HERBERT SMITH FREEHILLS KRAMER: FSR & CORP. CRIME NOTES (July 23, 2025), https://www.hsfkramer.com/notes/fsrandcorpcrime/2025-posts/genius-act-22-jul [https://perma.cc/UN5G-UCX5].

[7] GENIUS Act, Pub. L. No. 119-27, 139 Stat. 419 (2025).

[8] *See id.*

[9] *Id.* § 4.

[10] *Id.* § 2(22)(B)(iii).

[11] Richard M. Alexander et al., *What You Need to Know About the New Stablecoin Legislation: Analyzing the GENIUS Act*, ARNOLD & PORTER (July 21, 2025), https://www.arnoldporter.com/en/perspectives/advisories/2025/07/new-stablecoin-legislation-analyzing-the-genius-act [https://perma.cc/T2WH-QZR8].

collateralization and Anti-Money Laundering (AML) compliance, it addresses only a subset of the industry's systemic inefficiencies.[12]

This Article argues that despite the GENIUS Act's promise, the stablecoin sector faces four persistent and interrelated challenges: (1) liquidity bottlenecks and fragmentation across key geographic corridors; (2) limited practical spendability due to legal, tax, and accounting constraints; (3) unresolved legal and regulatory issues beyond issuance, such as custody and yield-bearing instruments; and (4) the lack of standardized fraud and dispute management infrastructure. Addressing these barriers is essential for transitioning stablecoins from speculative trading instruments to institutional-grade financial tools.

I. LIQUIDITY BOTTLENECKS AND MARKET FRAGMENTATION

A. *The Core Bottleneck*

Liquidity constraints present a significant hurdle to the wider integration of stablecoins, particularly within traditional financial institutions.[13] In contrast, retail cryptocurrency investors have more readily adopted stablecoins, leveraging them to facilitate efficient, low-volatility digital asset transactions.[14] While stablecoins demonstrate immense on-chain transfer volume, they frequently fail to support high-volume cross-border settlements due to thin market depth in many currency pairs and regions.[15] The reliance on centralized over-the-counter (OTC) desks, especially for trades above $10

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[12] *See* Kristin Boggiano et al., *Stablecoins and the Genius Act: What You Need to Know*, DLA PIPER (July 24, 2025), https://www.dlapiper.com/en-us/insights/publications/2025/07/stablecoins-and-the-genius-act-what-you-need-to-know [https://perma.cc/8KCK-DY8W].

[13] *See* Jessie Jiaxu Wang, *Banks in the Age of Stablecoins: Some Possible Implications for Deposits, Credit, and Financial Intermediation*, BD. OF GOVERNORS OF THE FED. RSRV. SYS.: FEDS NOTES (Dec. 17, 2025), https://www.federalreserve.gov/econres/notes/feds-notes/banks-in-the-age-of-stablecoins-implications-for-deposits-credit-and-financial-intermediation-20251217.html [https://perma.cc/8ANG-72Z9].

[14] *See id.*

[15] *See* FIN. STABILITY BD., CROSS-BORDER REGULATORY AND SUPERVISORY ISSUES OF GLOBAL STABLECOIN ARRANGEMENTS IN EMDES 7 (2024), https://www.fsb.org/uploads/P230724.pdf [https://perma.cc/56U4-D5JW].

million, adds friction, elevates costs, and introduces latency, effectively negating the benefits of blockchain-based instant settlement.[16]

The GENIUS Act mitigates counterparty risk through stringent reserve and redemption rules, but it does not directly resolve liquidity fragmentation.[17] Custody and segregation requirements, described in Section 10, are designed to protect end-users and prevent asset commingling, yet they may indirectly constrain the availability of stablecoin liquidity used in decentralized finance protocols.[18] This potential reduction in liquidity could hinder efficient trading and deepen market volatility, especially during periods of high demand or stress.[19]

B. *Impact on Institutional Adoption*

The stablecoin industry is rapidly advancing, leveraging its speed, cost-efficiency, and 24/7 uptime for immediate applications in cross-border payments, including remittances and business-to-business (B2B) transactions.[20] This signals a critical juncture in which meeting evolving customer demand is essential to avoid obsolescence. As shown in Table 1, over two-thirds (72%) of organizations surveyed are actively involved with stablecoin payments.[21] This amounts to nearly half (49%) already using stablecoins, and an additional 23% are currently pilot testing them. A smaller proportion, 18%, are planning stablecoin payments but have yet to implement them, while 10% remain undecided on adoption.

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[16] *See Achieving Low Latency Trading: The Importance of Real-Time Trade Execution in OTC Desks*, FINCHTRADE (Nov. 5, 2024), https://finchtrade.com/blog/achieving-low-latency-trading-the-importance-of-real-time-trade-execution-in-otc-desks [https://perma.cc/3KZD-9KCJ].

[17] *See* GENIUS Act, Pub. L. No. 119-27, § 4, 139 Stat. 419, 425–26 (2025).

[18] *See* Jeffrey L. Steiner et al., *The GENIUS Act: A New Era of Stablecoin Regulation*, GIBSON DUNN (July 18, 2025), https://www.gibsondunn.com/the-genius-act-a-new-era-of-stablecoin-regulation [https://perma.cc/Q5F4-8UL6] (discussing the Section 10 custody and segregation requirements).

[19] *See* Wang, *supra* note 13.

[20] *See State of Stablecoins 2025*, FIREBLOCKS, https://www.fireblocks.com/report/state-of-stablecoins [https://perma.cc/2QR6-CUJW] (last visited Oct. 30, 2025).

[21] *See infra* Table 1.

Table 1. Current Stablecoin Adoption[22]	
Adoption Status	**Percentage**
Using stablecoin payments	49%
Pilot testing stablecoin payments	23%
Planning stablecoin payments but not yet implemented	18%
Undecided on adoption	10%

For institutional users, such as corporate treasuries and payment networks, the promise of stablecoins for near-instantaneous and low-cost cross-border settlements is tempered by a critical dependency: the need to interface with the traditional fiat ecosystem for on and off-ramping.[23] This creates a "last-mile" problem where the efficiencies of blockchain technology are bottlenecked by the legacy financial infrastructure in the destination country.[24] However, while a significant majority of institutions are exploring stablecoin-based operations,[25] only a fraction have implemented them at scale, largely due to challenges associated with fiat currency conversion.[26]

The scale of this challenge is quantified by the persistent high costs and slow settlement times in traditional remittance corridors, as shown in Table 2.[27] These metrics are a direct proxy for the underlying market frictions: fragmented liquidity, regulatory hurdles,

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[22] *Id.*

[23] *See* Nooshin Nejati et al., *The Stablecoin Plateau—From Disruption to Integration*, DEUTSCHE BANK RSCH. INST. (Nov. 17, 2025), https://www.dbresearch.com/PROD/RI-PROD/PDFVIEWER.calias?pdfViewerPdfUrl=PROD000000000610103 [https://perma.cc/A7AW-G7LH].

[24] Phil Bruno, *Stablecoins Face Last-Mile Trouble*, PAYMENTS DIVE (July 24, 2025), https://www.paymentsdive.com/news/stablecoins-face-last-mile-trouble/754001 [https://perma.cc/J6ZP-3XEN].

[25] *See State of Stablecoins 2025*, *supra* note 20.

[26] *See* PRASHANT KHER & JOCHEN KAEMPFER, EY–PARTHENON, STABLECOINS IN FOCUS: NAVIGATING THE NEW DIGITAL FINANCIAL LANDSCAPE 1–3 (2025), https://www.ey.com/content/dam/ey-unified-site/ey-com/en-us/insights/financial-services/documents/cs-eyp-stablecoin-survey.pdf [https://perma.cc/N46R-V7Z4].

[27] *See infra* Table 2.

and inefficient payment rails that stablecoins must navigate.[28] Establishing a stablecoin off-ramp in such an environment is inherently complex and costly.[29] This disparity explains why, despite significant institutional exploration, operational implementation at scale remains limited; the formidable inefficiencies of the target market's fiat system directly inhibit the deployment of more efficient digital asset solutions.[30]

Table 2. Incumbent System Inefficiencies: Remittance Cost and Speed Benchmarks (Q1 2025)[31]

Representative Market Pair (Illustrative)	Average Total Cost (%)	Estimated Settlement Time (Hours)
USA–Mexico	4.98	6–24
USA–India	5.12	12–24
USA–Nigeria	8.78	24–48
Gulf (Saudi)–Egypt	6.25	24–72

[28] *See, e.g.*, KHER & KAEMPFER, *supra* note 26, at 9; Rashika Singh, *J.P. Morgan Wary of Stablecoin's Trillion-Dollar Growth Bets, Cuts Them by Half*, REUTERS (July 3, 2025, at 15:13 ET), https://www.reuters.com/business/finance/jpmorgan-wary-stablecoins-trillion-dollar-growth-bets-cuts-them-by-half-2025-07-03/ [https://perma.cc/4MG5-NC9A].

[29] *See* BANK FOR INT'L SETTLEMENTS, CPMI REPORT: CONSIDERATIONS FOR THE USE OF STABLECOIN ARRANGEMENTS IN CROSS-BORDER PAYMENTS 9 (Oct. 2023), https://www.bis.org/cpmi/publ/d220.pdf [https://perma.cc/FB68-A8PB].

[30] *See* KHER & KAEMPFER, *supra* note 26, at 26; COREY THEN, CAROLINE HILL & DAVID ANDERSON, BRETTON WOODS COMM.'S FUTURE OF FIN. WORKING GRP., UNLOCKING STABLECOINS: EXPLORING OPPORTUNITIES AND RISKS (Feb. 2025), https://brettonwoods.org/wp-content/uploads/2025/05/UnlockingStablecoinsExploringOpportunitiesandRisks.pdf [https://perma.cc/X235-LFDB].

[31] The figures presented in Table 2 are illustrative benchmarks created by the author. Cost data are drawn from the World Bank's Remittance Prices Worldwide (Issue 53), which reports average total remittance costs (as a percentage of the amount sent) by receiving country, sending country, and region. *See* THE WORLD BANK GRP., AN ANALYSIS OF TRENDS IN COST OF REMITTANCE SERVICES: REMITTANCE PRICES WORLDWIDE 21–22 (Mar. 2025), https://remittanceprices.worldbank.org/sites/default/files/rpw_main_report_and_annex_q125_1_0.pdf [https://perma.cc/AFZ4-XJ8V]. The estimated settlement times are the author's estimates that are intended to reflect common settlement ranges in incumbent correspondent banking-based fiat payment rails.

Italy–Bangladesh	8.45	48–96
USA–China	6.72	24–48

C. *Strategic Focus on High-Need Corridors*

Given these constraints, stablecoin issuers and payment platforms are increasingly pursuing corridor-specific strategies. Companies like Circle and Ripple Labs are concentrating on USD–MXN (Mexican Peso) and USD–INR (Indian Rupee) routes, seeking to achieve critical liquidity mass through regional partnerships.[32] This targeted approach allows firms to develop operational proof points and reduce spread volatility in high-demand markets.

Such strategies also anticipate regulatory bifurcation stemming from the GENIUS Act's dual oversight framework.[33] This framework establishes distinct regulatory paths based on an issuer's scale: issuers under $10 billion in market capitalization remain state-supervised, aligning with existing state-level digital asset regulations.[34] This tiered approach could result in smaller entities specializing in niche corridors or particular use cases under more flexible state oversight. Conversely, larger, federally regulated stablecoins (e.g., those from established financial institutions like J.P.Morgan or Fidelity) will fall under direct federal supervision, enabling them to dominate global flows and participate in broader financial

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[32] *See Circle Launches Stablecoin-Powered Cross-Border Payments Network*, PYMNTS (May 21, 2025), https://www.pymnts.com/cryptocurrency/2025/circle-launches-stablecoin-powered-cross-border-payments-network-and-announces-early-adopters/ [https://perma.cc/ND3R-75PY]; *Ripple and OpenPayd Partner to Deliver Enterprise Ready Stablecoin and Payment Infrastructure*, OPENPAYD (July 2, 2025), https://www.openpayd.com/announcements/ripple-and-openpayd-partner-to-deliver-enterprise-ready-stablecoin-and-payment-infrastructure/ [https://perma.cc/N7BZ-D2PA]; *2025 Crypto Adoption and Stablecoin Usage Report*, TRM LABS: REPS. & WHITE PAPERS (Oct. 21, 2025), https://www.trmlabs.com/reports-and-whitepapers/2025-crypto-adoption-and-stablecoin-usage-report [https://perma.cc/WE25-W7YJ].

[33] *The GENIUS Act of 2025: Stablecoin Legislation Adopted in the US*, LATHAM & WATKINS (July 24, 2025), https://www.lw.com/en/insights/the-genius-act-of-2025-stablecoin-legislation-adopted-in-the-us [https://perma.cc/2XHX-SRPX].

[34] *See id.*

markets given the heightened trust and regulatory clarity associated with federal backing.[35]

D. *Role of Technology Companies*

Large technology firms, such as Stripe, Visa, and Mastercard, are well-positioned to address these inefficiencies by leveraging their distribution networks, transaction data, and cross-border financial relationships.[36] Stripe, for example, is in exploratory discussions with partner banks to embed stablecoin settlement into its merchant rails.[37] Mastercard has launched a pilot for stablecoin wallet-to-checkout capabilities, aiming to provide 24/7 interoperable settlement for merchants globally.[38]

While the entry of these powerful companies into the stablecoin ecosystem holds the promise of significantly accelerating corridor-level liquidity optimization and improving user experience, it simultaneously introduces a notable challenge: increased dependency on centralized technology platforms.[39] This dynamic could lead to a

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[35] *See* Caitlin Throne, Christian Gonzalez & Michael Dailey, *The Potential Impacts of the GENIUS Act on Banking Regulations*, DINSMORE (Apr. 24, 2025), https://www.dinsmore.com/publications/the-potential-impacts-of-the-genius-act-on-banking-regulations [https://perma.cc/43RZ-Q3XR].

[36] *See* Niket Nishant & Manya Saini, *Visa Bets on Stablecoins to Speed up Cross-Border Payments*, REUTERS (Sep. 30, 2025, at 03:04 ET), https://www.reuters.com/technology/visa-bets-stablecoins-speed-up-cross-border-payments-2025-09-30 [https://perma.cc/8F5H-TE26]; MacKenzie Sigalos, *Stripe Closes $1.1 Billion Bridge Deal, Prepares for Aggressive Stablecoin Push*, CNBC (Feb. 4, 2025, at 15:37 ET), https://www.cnbc.com/2025/02/04/stripe-closes-1point1-billion-bridge-deal-prepares-for-stablecoin-push-.html [https://perma.cc/M5L5-63GF]; Press Release, Mastercard, Mastercard Unveils End-to-End Capabilities to Power Stablecoin Transactions—From Wallets to Checkouts (Apr. 28, 2025), https://www.mastercard.com/news/press/2025/april/mastercard-unveils-end-to-end-capabilities-to-power-stablecoin-transactions-from-wallets-to-checkouts [https://perma.cc/TGR7-7RZM].

[37] Aisha S. Gani & Emily Mason, *Payment Firm Stripe in Early Talks with Banks About Stablecoins*, BLOOMBERG (May 30, 2025, at 07:30 ET), https://www.bloomberg.com/news/articles/2025-05-30/payment-firm-stripe-in-early-talks-with-banks-about-stablecoins [https://perma.cc/ZB2B-VCJP].

[38] Press Release, Mastercard, *supra* note 36.

[39] *See* Matt Higginson & Garry Spanz, *The Stable Door Opens: How Tokenized Cash Enables Next-Gen Payments*, MCKINSEY & CO. (July 21, 2025), https://www.mckinsey.com/industries/financial-services/our-insights/the-stable-

new form of centralization within what is often celebrated as a decentralized finance (DeFi) innovation, potentially shifting power from distributed networks to a few dominant corporate entities.

II. SPENDABILITY AND PRACTICAL USE CHALLENGES

A. *Lack of Legal Tender Status*

Despite their operational promise, stablecoins are rarely recognized as legal tender in any jurisdiction.[40] Their use for direct commercial transactions remains limited, as most vendors and platforms continue to rely on traditional fiat payment methods.[41] This legal ambiguity undermines their utility as a medium of exchange and limits their spendability beyond crypto-native environments.[42] Regulatory authorities in key jurisdictions, including the United States and the European Union, have consistently maintained that stablecoins do not meet the legal criteria for sovereign money.[43]

Without legal tender status, stablecoin acceptance is entirely voluntary, forcing even willing users to rely on intermediaries for conversion to traditional currency.[44] This dependence on third parties inevitably reintroduces common drawbacks like additional fees, mandatory compliance checks (such as Know Your Customer or

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door-opens-how-tokenized-cash-enables-next-gen-payments [https://perma.cc/W5H4-LDBM].

[40] Javier Salinas & Michelle Choy, *Stablecoins: Navigating Applications, Regulations and the Tax Landscape in the U.S.*, BPM (May 30, 2024), https://www.bpm.com/insights/stablecoins [https://perma.cc/2KZN-VCQX] ("[S]ince stablecoins are not issued by a central government, they are not considered legal tender.").

[41] *See* Douglas Kurdziel et al., *From Niche to Utility: Stablecoins Move Toward the Financial Mainstream*, BAIN & CO. (Apr. 2025), https://www.bain.com/insights/from-niche-to-utility-stablecoins-move-toward-the-financial-mainstream [https://perma.cc/W6CU-2V8Z].

[42] *See* Higginson & Spanz, *supra* note 39.

[43] *See* Morgan J. Hayes et al., *Stablecoin Bills Advance in Congress as Administration Continues Crypto Push*, DEBEVOISE & PLIMPTON (May 5, 2025), https://www.debevoise.com/insights/publications/2025/05/stablecoin-bills-advance-in-congress-as-admin [https://perma.cc/TGX7-RLGT].

[44] *See* Caroline A. Crenshaw, *"Stable" Coins or Risky Business?*, SEC: SPEECHES & STATEMENTS (Apr. 4, 2025), https://www.sec.gov/newsroom/speeches-statements/crenshaw-statement-stablecoins-040425 [https://perma.cc/9UW2-MEV8].

KYC protocols), and frustrating delays in the payment process.[45] Consequently, most users must "off-ramp" their stablecoins into fiat currency before making real-world purchases.[46] This ultimately negates the seamless, instantaneous experience digital assets are supposed to offer and remains a significant barrier to mainstream adoption.[47]

B. *Accounting, Compliance, and Tax Complications*

Complex accounting and compliance requirements further constrain corporate adoption of stablecoins.[48] Under current U.S. Generally Accepted Accounting Principles (GAAP) and International Financial Reporting Standards (IFRS), stablecoins must be treated as intangible assets, subject to fair value accounting.[49] This treatment introduces income statement volatility, even though the nominal value of stablecoins remains stable.[50] This is because, under fair value accounting for intangible assets, any unrealized gains or losses from slight fluctuations in the stablecoin's market price, even a tiny deviation from its peg, must be recognized directly on the income statement, impacting reported profitability despite no actual change in the stablecoin's intended stable value.[51] Additionally, the IRS and equivalent foreign tax authorities provide limited and often ambiguous guidance regarding the tax treatment of stablecoin transactions,

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[45] *See* Higginson & Spanz, *supra* note 39; Kurdziel et al., *supra* note 41.

[46] *Off-Ramps Explained: Converting Stablecoins Back to Cash*, MURAL: BLOG (Oct. 4, 2024), https://www.muralpay.com/blog/off-ramps-explained-converting-stablecoins-back-to-cash [https://perma.cc/9WBF-XNMN].

[47] *See* SONJA DAVIDOVIC ET AL., BROOKINGS INST., CTR. FOR SUSTAINABLE DEV., THE RISE OF STABLECOINS AND IMPLICATIONS FOR TREASURY MARKETS 1 (2025), https://www.brookings.edu/wp-content/uploads/2025/10/The_Rise_of_Stablecoins_and_Implications_for_Treasury_Markets_Davidovic_Ghani_Moszoro.pdf [https://perma.cc/VNA8-EPM8].

[48] *See* Aleksandra Michniewicz, *Stablecoins 103: The Accounting, Operational, and Tax Challenges of Using Stablecoins*, TAXBIT (Apr. 11, 2025), https://www.taxbit.com/blogs/stablecoins-103-the-accounting-operational-and-tax-challenges-of-using-stablecoins [https://perma.cc/EQR5-QN54].

[49] *See* Scott Muir, Nick Tricarichi & Komal Ahuja, *Digital Assets Under IFRS Accounting Standards vs US GAAP*: *The Basics*, KPMG (Sep. 6, 2024), https://kpmg.com/us/en/articles/2024/digital-assets-under-ifrs-accounting-standards.html [https://perma.cc/AGV8-ETRF].

[50] *See id.*

[51] *See id.*

particularly for businesses engaging in cross-border payments or receiving income in stablecoins.[52]

From a compliance perspective, corporations face AML, KYC, and other reporting obligations that are often ill-defined in relation to digital asset holdings.[53] These concerns are amplified by limited vendor acceptance, making it operationally inefficient for firms to maintain stablecoin balances.[54] For example, Uber's Head of Treasury has stated that the company is still in the "study phase" regarding stablecoin usage, with a focus on understanding its potential to lower costs.[55]

C. *Bottleneck to Mainstream Adoption*

Until stablecoins can be used directly for a significant volume of real-world payments without reconversion to fiat, their role will remain largely restricted to speculative trading and remittance use cases. The existence of off-ramp bottlenecks, both technical and regulatory, compromises the promise of cost savings and efficiency. Mastercard's recent pilot project highlights the difficulty of scaling stablecoin-based consumer payments even in technologically mature markets.[56]

These limitations have a dampening effect on corporate adoption. Institutional treasurers remain hesitant to integrate stablecoins into working capital cycles due to perceived high regulatory risk and

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[52] *See generally* Miles Brooks, *How Are Stablecoins Taxed*? *(2025)*, COINLEDGER, https://coinledger.io/blog/stablecoin-taxes [https://perma.cc/QKM9-J394] (last visited Oct. 27, 2025) ("Despite the fact that stablecoins were designed to be used in everyday transactions, they are taxed the same as other digital assets.").

[53] *See The KYC and AML Challenges of Cryptocurrency Exchanges: Solutions and Best Practices*, FIN. MAGNATES (Mar. 31, 2023, at 06:44 GMT-5), https://www.financemagnates.com/cryptocurrency/exchange/the-kyc-and-aml-challenges-of-cryptocurrency-exchanges-solutions-and-best-practices [https://perma.cc/3J8N-TKQG].

[54] *See Top Risks of Using Stablecoins for Businesses (and How to Reduce Them)*, TRANSFI (Oct. 6, 2025), https://www.transfi.com/blog/top-risks-of-using-stablecoins-for-businesses-and-how-to-reduce-them [https://perma.cc/Q5H4-4BAM].

[55] Stephen Katte, *Uber in 'Study Phase' of Using Stablecoins to Lower Costs, Says CEO*, COINTELEGRAPH (June 5, 2025), https://cointelegraph.com/news/uber-study-phase-stablecoins-lower-costs [https://perma.cc/Z92U-UVMW].

[56] *See* Press Release, Mastercard, *supra* note 36.

limited interoperability with existing enterprise systems.[57] The absence of a universal framework for stablecoin payments reduces their appeal relative to more predictable and compliant payment systems such as the Society for Worldwide Interbank Financial Telecommunication (SWIFT) or the Single Euro Payments Area (SEPA).[58]

III. LEGAL AND REGULATORY GAPS BEYOND ISSUANCE

A. *Clarity from the GENIUS Act*

The GENIUS Act, enacted in July 2025,[59] represents a pivotal regulatory development. It mandates one-to-one reserve backing of payment stablecoins, establishes reporting requirements, and introduces enhanced oversight for issuers with market capitalizations exceeding $10 billion.[60] By clarifying the legal category of payment stablecoins and enforcing AML compliance, the Act addresses some of the most urgent concerns related to transparency and counterparty risk.[61] The Act mandates auditing for stablecoin issuers to ensure transparency and maintain consumer confidence.[62] All issuers are required to publish monthly reserve disclosures, which must be examined by a registered public accounting firm and certified by their senior executives.[63] For larger issuers with more than $50 billion in outstanding stablecoins, the Act further requires annual financial statement audits to provide comprehensive oversight.[64]

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[57] *See* Matthew Blumenfeld & Kristen Michaud, *Stablecoins for Treasurers: Where to Start, What to Watch, and What Can Wait*, PWC: TECH EFFECT (Nov. 12, 2025), https://www.pwc.com/us/en/tech-effect/emerging-tech/stablecoin-for-treasurers.html [https://perma.cc/3JGS-EHU5].

[58] *See* Press Release, Fin. Stability Bd., FSB Finds Significant Gaps and Inconsistencies in Implementation of Crypto and Stablecoin Recommendations (Oct. 16, 2025), https://www.fsb.org/2025/10/fsb-finds-significant-gaps-and-inconsistencies-in-implementation-of-crypto-and-stablecoin-recommendations [https://perma.cc/T745-U27J].

[59] GENIUS Act, Pub. L. No. 119-27, 139 Stat. 419 (2025).

[60] *Id.* §§ 4–6.

[61] *See* LATHAM & WATKINS, *supra* note 33.

[62] *See id.*

[63] *Id.*

[64] *Id.*

However, the Act's focus on issuance leaves large parts of the ecosystem under-regulated. Notably, its provisions do not directly cover on-ramp/off-ramp procedures, yield-bearing stablecoins, or fraud management infrastructure. These gaps will likely persist even after the law's enactment.

B. *Remaining Regulatory Gaps*

First, the absence of standardized rules for stablecoin custody raises systemic risk. While Section 10 of the GENIUS Act requires asset segregation, it does not specify custodian licensing standards or protocols for cross-chain operations.[65] As a result, custody practices can vary widely, leading to security and solvency concerns that dissuade institutional engagement.[66]

Second, the regulatory treatment of on-ramps and off-ramps remains inconsistent across jurisdictions. Many crypto-to-fiat conversion services lack formal licensing or oversight, creating legal uncertainty for users and providers alike.[67] This poses a major obstacle to institutional scalability, particularly for firms operating across multiple legal environments.[68]

Third, yield-bearing stablecoins, such as those offering interest through staking mechanisms or Treasury-bill backing, fall into a gray area. These instruments may be deemed securities under the Howey test, potentially triggering Securities and Exchange Commission (SEC) jurisdiction in the United States or similar scrutiny in Europe and Asia.[69] Yet, the GENIUS Act deliberately avoided addressing this category, opting instead to mandate a future study of endogenous collateral models under Section 11.[70]

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[65] *See* GENIUS Act § 10.

[66] *See* DIEGO BALLON OSSIO ET AL., CLIFFORD CHANCE, CUSTODY OF CRYPTOASSETS: MOVING TOWARDS INDUSTRY BEST PRACTICE 9 (2023), https://www.cliffordchance.com/content/dam/cliffordchance/briefings/2023/06/custody-of-cryptoassets.pdf [https://perma.cc/M6DB-V9D2].

[67] FIN. STABILITY BD., REGULATION, SUPERVISION AND OVERSIGHT OF CRYPTO-ASSET ACTIVITIES AND MARKETS 12 (2022), https://www.fsb.org/uploads/P111022-3.pdf [https://perma.cc/SZ3P-STTU].

[68] *See id.*

[69] *Statement on Stablecoins*, SEC: SPEECHES & STATEMENTS (Apr. 4, 2025), https://www.sec.gov/newsroom/speeches-statements/statement-stablecoins-040425 [https://perma.cc/Y6YV-ELKG].

[70] *See* GENIUS Act § 14.

C. *Compliance as a Competitive Advantage*

In response to these gaps, market leaders are taking a proactive stance on compliance. Major custody providers like Fidelity Digital Assets and Coinbase Custody are expanding compliance-oriented custody frameworks designed to support stablecoin activity as federal regulatory regimes like the GENIUS Act take effect.[71] These platforms seek to create trusted environments for institutional capital, offering transparency, auditability, and risk mitigation.[72]

Similarly, partnerships between fintech firms and traditional banks are emerging as a compliance strategy. Stripe's collaboration with regional banks to explore embedded stablecoin payments exemplifies this trend.[73] By aligning with licensed financial institutions, fintechs are preemptively navigating future regulation while gaining first-mover advantages.

D. *Demand for a Formal Safety and Risk Rating System*

As stablecoin usage becomes more institutional, treasurers and financial officers are demanding formal risk rating systems akin to credit ratings for sovereign or corporate bonds.[74] These systems would assess regulatory compliance, reserve asset quality, counterparty exposure, and cyber resilience.[75] Currently, no industry-wide framework exists, forcing institutions to conduct costly and inconsistent due diligence.[76]

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[71] *See* FIDELITY DIGIT. ASSETS: ABOUT US, https://www.fidelitydigitalassets.com/about-us [https://perma.cc/GN5K-F8CM] (last visited Jan. 2, 2026); COINBASE, https://www.coinbase.com/prime/custody [https://perma.cc/55C6-5DCC] (last visited Jan. 2, 2026).

[72] *See* FIDELITY DIGIT. ASSETS, *supra* note 71; COINBASE, *supra* note 71.

[73] *See* Katte, *supra* note 55.

[74] *See, e.g.*, *S&P Global Ratings Launches Stablecoin Stability Assessment*, S&P GLOB. (Dec. 12, 2023), https://press.spglobal.com/2023-12-12-S-P-Global-Ratings-Launches-Stablecoin-Stability-Assessment [https://perma.cc/2U8F-RRVK]; Judy Lagrou, *Moody's Stablecoin Rating Proposal Aims to Assess Liquidity Risk*, BLOOMBERG (Dec. 17, 2025, at 15:54 ET), https://www.bloomberg.com/news/articles/2025-12-17/moody-s-stablecoin-rating-proposal-aims-to-assess-liquidity-risk [https://perma.cc/A92T-WW9G].

[75] *See* Lagrou, *supra* note 74.

[76] *See* Press Release, Fin. Stability Bd., *supra* note 58.

Table 3 proposes a prototype structure for evaluating stablecoin safety across five crucial dimensions.[77] While this framework would promote institutional trust, it would also pave the way for secondary markets in stablecoin credit derivatives, allowing hedging of issuer risk and catalyzing a more mature financial ecosystem.[78] The framework weighs Regulatory Compliance and Reserve Quality highest at 25% each, underscoring their foundational role in ensuring stability and legality. Custody Infrastructure follows at 20%, emphasizing secure and reliable storage of reserve assets via regulated third parties. Finally, Transparency & Audits and Cybersecurity Resilience (both 15%) complete the framework, focusing on the need for verifiable public attestations and proven defenses against cyber threats. This unified system could provide clear signals to investors and integrate stablecoins more seamlessly into traditional finance.

Table 3. Proposed Risk Rating Framework for Stablecoins[79]

Category	Example Metric	Weight
Regulatory Compliance	Jurisdictional licensing status	25%
Reserve Quality	% backed by short-term U.S. Treasuries	25%
Custody Infrastructure	Use of regulated third-party custodians	20%
Transparency & Audits	Frequency of public attestations	15%
Cybersecurity Resilience	Penetration test history	15%

[77] *See infra* Table 3.

[78] *See State of Stablecoins 2025*, *supra* note 20.

[79] This table is created by the author. *See* DELOITTE, 2025—THE YEAR OF PAYMENT STABLECOINS: THE GENIUS ACT IS LAW, NOW WHAT? (2025), https://www.deloitte.com/content/dam/assets-zone3/us/en/docs/services/consulting/2025/us-deloitte-the-year-of-payment-stablecoins-genius-act-is-now-law-july-2025.pdf [https://perma.cc/S2MZ-4C6N]; *State of Stablecoins 2025*, *supra* note 20.

IV. FRAUD AND DISPUTE MANAGEMENT DEFICIENCIES

A. *Overlooked Gaps in Stablecoin Infrastructure*

While much of the regulatory focus to date has been on reserve quality and issuer transparency, a critical component remains underdeveloped: fraud and dispute resolution. The stablecoin ecosystem, particularly in its decentralized instantiations, lacks robust mechanisms for transaction reversibility, dispute arbitration, and consumer refunds, services that are standard in traditional financial infrastructure.[80]

This absence is a major liability for institutional use. Enterprises transacting in high-value stablecoin settlements must often rely on private contracts or custom-built controls rather than on standardized protections.[81] This limits scalability for large-scale, multi-party financial flows.[82] In a Chainalysis report, over 50% of financial institutions cited compliance concerns, which include the management and resolution of fraud and illicit activity, as the primary issue preventing greater investment in digital assets.[83]

B. *Current Limitations in Practice*

Many stablecoin platforms operate on a finality-first design philosophy, meaning that once a transaction is confirmed on-chain, it is irreversible.[84] While this immutability enhances security, it creates complications for handling operational errors, unauthorized

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[80] *See* Brian McGleenon, *Why Stablecoin Transactions Are Irreversible*, YAHOO! FIN. (Sep. 25, 2025), https://finance.yahoo.com/news/stablecoin-transactions-crypto-bitcoin-price-blockchain-circle-134023278.html [https://perma.cc/A5JU-VDDE].

[81] *See* PRESIDENT'S WORKING GRP. ON FIN. MKTS. ET AL., REPORT ON STABLECOINS 9 (2021), https://home.treasury.gov/system/files/136/StableCoinReport_Nov1_508.pdf [https://perma.cc/EFY8-QLMT].

[82] RONIT GHOSE ET AL., CITI INST., STABLECOINS 2030: WEB3 TO WALL STREET 45–46 (2025), https://www.citigroup.com/rcs/citigpa/storage/public/GPS_Report_Stablecoins_2030.pdf [https://perma.cc/VDQ7-7875].

[83] *Survey: Financial Institutions See Cryptocurrency's Growth Potential but Worry About Compliance*, CHAINALYSIS: BLOG (Nov. 6, 2019), https://www.chainalysis.com/blog/survey-financial-institutions-cryptocurrency [https://perma.cc/P32A-CLCV].

[84] *Stablecoins 101 for Payments Professionals*, FIREBLOCKS, https://www.fireblocks.com/report/stablecoins-101 [https://perma.cc/PWX5-4C4X] (last visited Nov. 11, 2025).

transfers, and business disputes.[85] For example, no native mechanism exists for reversing erroneous payments made via smart contracts unless the recipient voluntarily returns funds.[86] Even centralized stablecoin issuers like Circle or Tether acknowledge that they cannot reverse or recall transactions and that users bear responsibility for mistakes, fraud, or misdirected transfers.[87] Circle's recently introduced refund protocol stands as a rare example of an issuer providing a formal dispute-resolution mechanism.[88]

This lack of recourse is especially concerning for regulated financial institutions subject to fiduciary obligations. Banks and payment providers require predictable legal frameworks to handle claims, refunds, and error resolution, which are features that are foundational to the trust-based architecture of traditional finance.[89] Without them, stablecoins will struggle to progress from peripheral tools to core infrastructure in the payments stack.[90]

C. *Importance for Institutional-Grade Infrastructure*

For stablecoins to function as reliable settlement assets in institutional finance, they must support standardized fraud prevention, resolution, and consumer protection protocols.[91] These systems should include: (1) arbitration frameworks for resolving disputes between parties transacting in stablecoins; (2) programmable

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[85] *Id.*

[86] JEFFREY D. NEUBURGER ET AL., THOMSON REUTERS PRAC. L., SMART CONTRACTS: BEST PRACTICES 2 (2019), https://blockchainandthelawredesign.proskauerroseblogs.com/wp-content/uploads/sites/50/2019/11/Smart-Contracts-Best-Practices-w-022-2968.pdf [https://perma.cc/74L5-YHEU].

[87] *See USDC Terms*, CIRCLE: LEGAL & PRIV. (Dec. 12, 2025), https://www.circle.com/legal/usdc-terms [https://perma.cc/3BBC-XJGZ]; *Risk Disclosure Statement*, TETHER: LEGAL (Jan. 27, 2025), https://tether.to/en/legal/?tab=risk-disclosure-statement [https://perma.cc/K2EV-TLLH].

[88] *Refund Protocol: Non-Custodial Dispute Resolution for Stablecoin Payments*, CIRCLE: BLOG (Apr. 17, 2025), https://www.circle.com/blog/refund-protocol-non-custodial-dispute-resolution-for-stablecoin-payments [https://perma.cc/7Q84-GFAN].

[89] *See* HARISH NATARAJAN ET AL., WORLD BANK GRP., SCHEME RULES IN FAST PAYMENTS 16–17 (2022), https://fastpayments.worldbank.org/sites/default/files/2022-03/Scheme%20Rules_Final_0.pdf [https://perma.cc/RPD9-NZWG].

[90] *See* RONIT GHOSE ET AL., *supra* note 82, at 45–46.

[91] *See* PRESIDENT'S WORKING GRP. ON FIN. MKTS. ET AL., *supra* note 81, at 11.

transaction hold-and-release mechanisms to delay finality in sensitive transfers; (3) regulatory reporting pipelines for flagged or disputed transactions; and (4) insurance schemes to cover fraud-induced losses or operational breaches.

Absent such capabilities, institutions will continue to view stablecoins as unsuitable for mission-critical processes.[92] As Mastercard's 2025 report emphasizes, enterprise adoption requires end-to-end safeguards comparable to those governing fiat settlements.[93]

V. FUTURE CONSIDERATIONS: DIRECT TOKENIZED SETTLEMENT

A. *Emerging Possibility*

One of the most transformative prospects for digital financial infrastructure is the transition from stablecoins to direct tokenized settlement. Tokenization refers to the process of converting ownership interests in real-world or digital assets into blockchain-based digital tokens.[94] In this model, institutions bypass stablecoin issuers altogether by transacting directly in tokenized Treasury bills or money market funds.[95] These instruments, which represent claims on real-world assets, can be transacted 24/7, with settlement finality and blockchain-level cost efficiency.[96]

Major custodians and fintechs are actively exploring this architecture. Circle and BlackRock have piloted tokenized U.S. Treasury products, and several decentralized protocols are experimenting with composable Treasury pools that maintain real-time pricing and

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[92] *See* BANK FOR INT'L SETTLEMENTS, ANNUAL ECONOMIC REPORT 2025, at 77 (2025), https://www.bis.org/publ/arpdf/ar2025e3.pdf [https://perma.cc/SPF4-QNVK].

[93] *See* Press Release, Mastercard, *supra* note 36.

[94] FIN. STABILITY BD., THE FINANCIAL STABILITY IMPLICATIONS OF TOKENISATION 4 (2024), https://www.fsb.org/uploads/P221024-2.pdf [https://perma.cc/3TXB-LZXT].

[95] *See id.* at 5 tbl. 1.

[96] *See id.* at 20; DELOITTE, *supra* note 79, at 6; *Stablecoins on Flow: Evolving for Interoperability*, FLOW (Aug. 5, 2024), https://flow.com/post/stablecoins-on-flow-evolving-for-interoperability [https://perma.cc/AZB4-UQZM].

redemption.[97] This burgeoning interest extends significantly into the realm of decentralized finance, where innovation is rapidly reshaping traditional financial paradigms. For instance, Angle is a decentralized stablecoin protocol that issues the Euro-pegged stablecoin, EURA.[98] This evolution blurs the line between digital cash and financial securities, creating new models of liquidity and monetary velocity.[99]

B. *Implications of Tokenized Financial Instruments*

The shift to tokenized assets can bring several potential benefits: (1) Instant Settlement: Blockchain-based clearing enables real-time finality without dependence on banking hours or intermediaries;[100] (2) Interoperability Potential: Cross-chain communication standards, such as Chainlink's Cross-Chain Interoperability Protocol (CCIP),[101] are maturing, allowing tokenized assets to flow across platforms and ecosystems;[102] (3) Capital Efficiency: By embedding yield into the transaction layer, tokenized treasuries may outperform stablecoins in both function and return profile.[103]

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[97] *See, e.g.*, *USYC Overview*, CIRCLE: ASSETS, https://developers.circle.com/tokenized/usyc/overview [https://perma.cc/BP8B-VN2S] (last visited Dec. 20, 2025); Krisztian Sandor, *BlackRock's $2.9B Tokenized Treasury Fund Now Accepted as Collateral on Crypto.com, Deribit*, COINDESK (June 20, 2025, at 09:40 ET), https://www.coindesk.com/markets/2025/06/18/blackrocks-29b-tokenized-treasury-fund-now-accepted-as-collateral-on-cryptocom-deribit [https://perma.cc/6YAW-FX8T].

[98] *See* ANGLE: ABOUT, https://www.angle.money/eura [https://perma.cc/79DC-SS5L] (last visited Dec. 20, 2025).

[99] *See* Carlos Navarro Fernandez & Álvaro Martínez Arce, *Blockchain Technology and the Transformation of Capital Markets*, DELOITTE (Mar. 14, 2025), https://www.deloitte.com/lu/en/Industries/investment-management/blogs/blockchain-technology-and-the-transformation-of-capital-markets.html [https://perma.cc/LY9M-9CC8].

[100] BANK FOR INT'L SETTLEMENTS, *supra* note 92, at 85, 92.

[101] *Cross-Chain Interoperability Protocol (CCIP)*, CHAINLINK, https://chain.link/cross-chain [https://perma.cc/8AM4-TR8M] (last visited Dec. 20, 2025).

[102] *See* Wei Ou et al., *An Overview on Cross-Chain: Mechanism, Platforms, Challenges and Advances*, 218 COMPUT. NETWORKS, no. 109378, 2022, at 1, 19.

[103] *See* Matthew Blumenfeld & Carey Carpenter, *Tokenization in Financial Services: Delivering Value and Transformation*, PWC: TECH EFFECT (Oct. 3, 2025), https://www.pwc.com/us/en/tech-effect/emerging-tech/tokenization-in-financial-services.html [https://perma.cc/7ZJF-JMU8].

However, the realization of these advantages is contingent on both technical and legal feasibility. For example, by embedding a yield component directly into the transaction layer, tokenized treasuries can offer a superior value proposition compared to payment stablecoins, which under the GENIUS Act may not pay interest or yield solely in connection with their holding or use, by providing both a stable principal and an accrued return from underlying government securities. Nevertheless, their broader adoption faces significant challenges, including the need for greater regulatory clarity, enhanced interoperability across diverse blockchain platforms, and the development of robust institutional infrastructure for managing and safeguarding these new digital assets.[104] Crucially, unlike stablecoins, tokenized treasuries are highly likely to fall squarely under existing securities regulation, thereby invoking stringent disclosure, custody, and transfer restrictions imposed by the SEC and its global equivalents.[105]

C. *Regulatory and Technical Complexities*

The transition to tokenized settlement is not without hurdles. Key challenges include: (1) Securities Classification: Tokenized money market instruments are likely to be regulated as securities, requiring broker-dealer licenses and transfer agent registration;[106] (2) Cross-Platform Interoperability: Platforms must adopt common standards for token formats, verification, and transfer mechanisms to prevent liquidity silos;[107] (3) Legal Finality: Questions persist

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[104] *See* Anutosh Banerjee et al., *Tokenization: A Digital-Asset Déjà Vu*, MCKINSEY & CO. (Aug. 15, 2023), https://www.mckinsey.com/industries/financial-services/our-insights/tokenization-a-digital-asset-deja-vu [https://perma.cc/6GM2-FBJH].

[105] Hester M. Peirce, *Enchanting, But Not Magical: A Statement on the Tokenization of Securities*, SEC: SPEECHES & STATEMENTS (July 9, 2025), https://www.sec.gov/newsroom/speeches-statements/peirce-statement-tokenized-securities-070925 [https://perma.cc/GW3U-EW5E].

[106] *See id.*

[107] *See* DUANE BLOCK ET AL., ACCENTURE & CHAINLINK, LIQUIDITY WITHOUT BORDERS: WHY CROSS-CHAIN INTEROPERABILITY IS ESSENTIAL IN AN INCREASINGLY MULTI-CHAIN FINANCIAL SERVICES LANDSCAPE 1 (2025), https://pages.chain.link/hubfs/e/liquidity_without_borders.pdf [https://perma.cc/M64V-LBX2].

about how on-chain settlement interacts with off-chain legal contracts, especially in cross-border contexts.[108]

The GENIUS Act's silence on tokenized securities underscores its limited jurisdictional scope. While it addresses payment stablecoins, it leaves broader digital asset classifications unresolved, requiring either separate legislation or integrated regulatory frameworks.

In summary, while tokenized settlement offers a promising long-term alternative, stablecoins are likely to remain the dominant form of blockchain-based value transfer in the near term. Yet even in this future, the core challenges identified here, such as liquidity, legal clarity, infrastructure readiness, and dispute management, will persist, albeit in altered forms.

CONCLUSION

The GENIUS Act marks a milestone in the regulatory evolution of the U.S. stablecoin market. By establishing a framework for payment stablecoins with one-to-one reserve backing, issuer oversight, and redemption guarantees, the Act addresses long-standing concerns about transparency and counterparty risk.[109] However, the legislation does not comprehensively resolve the challenges that continue to hinder stablecoins from achieving systemic financial utility.

This Article identifies four critical post-GENIUS challenges. First, liquidity remains fragmented across corridors and use cases, with high spreads and inconsistent settlement speeds undermining institutional trust.[110] Second, stablecoin spendability is hampered by the absence of legal tender status, unresolved accounting treatment, and limited vendor acceptance—factors that make operational adoption impractical for many firms.[111] Third, key regulatory gaps persist, particularly regarding custody rules, on-ramp/off-ramp

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[108] *See* Aaron Krowne, *Legal Challenges in Defining and Regulating Smart Contracts*, INDUSTRIA BUS. LAWS. LLP (Nov. 14, 2024), https://ibl.law/legal-challenges-in-defining-and-regulating-smart-contracts [https://perma.cc/9HQ6-7B76].

[109] GENIUS Act, Pub. L. No. 119-27, §§ 4–6, 139 Stat. 419 (2025).

[110] *See* discussion *supra* Sections I.B–C.

[111] *See* discussion *supra* Section II.A.

integration, and the treatment of yield-bearing stablecoins.[112] Finally, the ecosystem lacks standardized frameworks for fraud mitigation and dispute resolution, rendering it insufficient for enterprise-grade financial activity.[113]

Looking ahead, the potential shift to tokenized settlement in Treasuries or money market funds presents an exciting frontier. While promising in theory, such a transition will raise complex legal, technical, and interoperability issues that have yet to be addressed. Even in this evolving paradigm, the foundational challenges of liquidity, regulation, infrastructure, and trust will remain central to the stablecoin industry's maturation.

The enacted GENIUS Act should therefore be seen not as the culmination of stablecoin regulation, but as the first act in a broader narrative, one that requires sustained collaboration among regulators, financial institutions, technology firms, and policy experts. Only then can stablecoins evolve from digital proxies for fiat into a resilient backbone for global financial transactions.

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[112] *See* discussion *supra* Part II; *see* discussion *supra* Section III.A.

[113] *See* discussion *supra* Section IV.A.